



CANADIAN LABOUR CONGRESS
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**WHY AIRPORT PRIVATIZATION WOULD
BE RISKY AND COSTLY FOR CANADIANS**





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Executive Summary:

- Since the fall of 2025, the federal government has signalled – through Budget 2025, the 2026 Spring Economic Update, Bill C-30, and statements from cabinet ministers – that it would consider options for airport privatization, stating its desire to increase efficiencies, lower consumer prices, raise infrastructure investment, and increase Sovereign Wealth Fund revenue as goals.
- Supporters of privatization point to Canada's high relative airfares, the prospect of government revenue windfall, and the profitability of overseas for-profit privatized airports.
- Opponents cite Australia, New Zealand, Portugal, the United States of America, and the United Kingdom as documented cases of privatization producing higher airline and consumer charges, decreased service quality, workforce squeezes, and abuse of market power inherent to airports' status as natural monopolies. Estimates suggest that a private investor requires 15-20% more revenue than airports currently generate– and that gap can only come from fares, fees, wages, or reduced government rent.
- Airport workers and air travellers should oppose this shift from the current publicly-owned, non-profit model. Under for-profit airport ownership, revenue must be extracted somewhere: consumers, workers, or the government will pay the price.
- The CLC firmly opposes any transfer of ownership, control, or influx of private equity into Canada's airports in any form—full sale, IPO, partial terminal sale, or majority-stake partnership. We contend that the government should focus on the affordability of air travel and the protection of workers, instead of allowing private capital owners to operate Canadians' essential services and manufacture profits off the backs of workers and the general public.





Contents

Problem: The Federal Government’s Growing Desire for Privatization	5
Timeline of Privatization Developments Summarized	8
Background: Canadian Airports’ Status Quo	9
Background: National Airport System	10
Background: Consumers’ Concerns – High Airfares	10
Background: Workers’ Concerns – Regulation Needed	12
Background: Benefits of Canadian Airports	13
Examples: Effects of Airport Privatization	14
Examples: Privatization and High Airfares	15
Examples: Privatization and Worsened Working Conditions	17
Examples: A Loss of Government Revenue Through Privatization	18
Table to Summarize Cases of Harmful Privatization	19
Analysis: Canada’s Airports — Impacts of Potential Privatization	20
Analysis: A Natural Outcome from a Natural Monopoly	21
Analysis: The Mandate Shift	22
Profit Through Revenues	22
Profit Through Cutting Expenses	25
Profits Through Government Incentives	25
Profit at the Expense of Public Accountability	26
Analysis: “Efficiencies” are Not Enough	27
Analysis — Core Case: A Summary of Why Airport Privatization Fails in Canada	28
Table on Why Airport Privatization Fails in Canada — The Core Case	28
Conclusion: Rejection of Airport Privatization	29



Problem: The Federal Government's Growing Desire for Privatization

Summary:

- This is the most serious attempt of airport privatization since the creation of Canada's National Airport System in 1994.
- 2025's federal budget first signalled the intent; 2026's Spring Economic Update reiterated it and introduced legislative amendments (Bill C-30) allowing the government to formally gather the information needed to evaluate reform options.
- More clarity is expected by fall 2026, potentially to be announced at the Canada Investment Summit in September.

2025's federal budget first signalled the government's potential desire for airport privatization. Under the "Supercharging Growth" subsection of the budget, the government highlighted its intent to "catalyze investment in our airports and ports" with the stated aim to diversify trade, decrease travel costs, strengthen regional connectivity, encourage tourism, and "build transportation infrastructure that can meet growing demand."¹ The passage plainly stated that "the government will also consider options for the privatization of airports."²

The prospect of airport privatization has been floated by previous governments, from Kim Campbell's short-lived government in 1993 and Justin Trudeau's government in 2017. Both efforts were stymied, with Campbell losing the federal election shortly after the announcement and Trudeau shelving the prospect following strong opposition.³ The current indications from Prime Minister Mark Carney's federal government suggest that this effort to privatize is different in its seriousness and likely to be at least attempted by the federal government.

The intention of increasing private investment in the government's assets to build public infrastructure was expanded upon in the Spring Economic Update of 2026. Under the title *Strengthening the Future of Canada's Airports*, the government reiterates its desire to lower consumer costs, while leaning further into the prospect of privatization. Updating the framework of airport rents, exploring alternative models of ownership, modernizing airport authority ownership, and attracting private investment are stated as objectives, and all touch on various aspects of privatization.⁴ This framing was operationalized through the Spring Economic Update's \$5 billion Trade Diversification Corridors Fund, explicitly established "to help build and modernize Canada's ports, railways, airports, bridges, and highways" as part of the government's broader goal of doubling non-U.S. exports over the next decade.⁵ The update also reinforces the government's privatization stance, announcing that legislation would be introduced to gather the information needed to evaluate airport reform options.

The implementation act of the Spring Economic Update—receiving royal assent on June 18, 2026—included the aforementioned changes by amending the *Canada Transportation Act*.⁶ The amendments allow the federal government to gather the information necessary to evaluate the current model of airport ownership and operation, including considering "options for the privatization of airports."⁷ This legislative change is the strongest move on airport privatization since Canada's National Airport System was developed. We anticipate more to come to understand if the government will conclusively pursue this measure.

The next moves from this government are expected to come by the end of 2026, according to articles published in late July 2026.⁸ One article cited an Australian multi-billion-dollar fund manager and prospective investor's claims that they expect the prime minister could announce the plans to privatize airports as early as mid-September at the Canada

1 Canada Federal Budget. 2026. p.100, <https://budget.canada.ca/2025/home-accueil-en.html>

2 Canada Federal Budget. 2026.

3 Jessica Kim, Laura Dhillion Kane. "Canadians Skeptical of Carney's Push to Open Airports to Private Investment." Bloomberg. July 6, 2026. <https://financialpost.com/transportation/canadians-skeptical-of-carneys-push-to-open-airports-to-private-investment>.

4 Canada Federal Spring Economic Update 2026, p.56-57, <https://budget.canada.ca/update-miseajour/2026/home-accueil-en.html>.

5 Graeme Gordon. "Privatizing Canada's cargo ports is key to Carney government's \$1 trillion investment and trade diversification targets: Logistics experts." June 2, 2026. <https://thehub.ca/2026/06/02/privatizing-canadas-cargo-ports-further-is-key-for-carney-governments-1-trillion-investment-and-trade-diversification-targets-logistics-experts/>.

6 Parliament of Canada. "Bill C-30: Provision of Spring Economic Update." June 18, 2026. [Government Bill \(House of Commons\) C-30 \(45-1\) - Royal Assent - Spring Economic Update 2026 Implementation Act - Parliament of Canada](https://www.parliament.ca/bills/45-1/c-30)

7 Library of Parliament. "Legislative Summary of Bill C-30: An Act to implement certain provisions of the spring economic update." April 28, 2026. https://lop.parl.ca/sites/PublicWebsite/default/en_CA/ResearchPublications/LegislativeSummaries/451C30E.

8 Adam Radwanski. "Will Mark Carney put our airports on the block? PM likely to signal which Canadian assets are for sale at summit." July 28, 2026. https://www.thestar.com/business/opinion/will-carney-put-our-airports-on-the-block-pm-likely-to-signal-which-canadian-assets-are-for-sale-at-summit/article_72896b55-1956-49d0-b87e-468f0514f44e.html.

Investment Summit.⁹ The source further claims that organizations have already been submitting options to the prime minister's office for ideas on the ownership transition, but that the government is considering multiple structures for privatization.¹⁰ Other assessments have stated that there should be indications on the federal government's plan for the release of Budget 2026.¹¹ Regardless of timing, further actions, such as governance changes (and potentially legislative changes), are required to complete airport privatization.¹²

"Mark Carney's government is serious about selling airports to private investors and could unveil steps to move in that direction when large fund managers gather in September at his Canada Investment Summit"¹³

– Financial Post on July 22, 2026

Note that the National Airport Policy of 1994—the framework for Canada's current airport ownership model – is not a piece of legislation. Instead, it is a governance program of Transport Canada that would likely not require any major legislation to sell the airports. However, legislative regulatory change has often accompanied airport privatization in countries that have sold their major airports. If privatization is announced around the September investment summit, legislative amendments may be omnibus into the 2026 budget.



9 Barbara Shecter. "Carney is serious about privatizing airports, Australian pension executive says." Financial Post. July 22, 2026. <https://financialpost.com/fp-finance/carney-serious-privatizing-airports>.

10 Barbara Shecter. Carney is serious about privatizing airports. Financial Post. July 22, 2026.

11 James Moore. "James Moore: The government is exploring airport privatization. Here's why it won't fly." CTV News. May 1, 2026. <https://www.ctvnews.ca/politics/article/james-moore-the-government-is-exploring-airport-privatization-heres-why-it-wont-fly/>.

12 Barbara Shecter. Carney is serious about privatizing airports. Financial Post. July 22, 2026.

13 Barbara Shecter. Carney is serious about privatizing airports. Financial Post. July 22, 2026.

Timeline of Privatization Developments Summarized

Date	Development	What It Said / Did
Fall 2025	Budget 2025: “Supercharging Growth” section	First public signal: government would “consider options for the privatization of airports” as part of broader trade/ infrastructure investment goals
Spring 2026	Spring Economic Update 2026: “Strengthening the Future of Canada’s Airports”	Reiterated privatization intent; introduced the Trade Diversification Corridors Fund (\$5B); flagged legislative changes to gather evaluation data
June 2026	Bill C-30 receives Royal Assent	Amends the <i>Canada Transportation Act</i> to allow the federal government to formally gather information needed to evaluate airport ownership/operation options
July 2026	Financial Post / Toronto Star reporting	Industry sources (Australian pension fund executive) say Carney could announce privatization plans as early as the September Canada Investment Summit
Fall 2026 (*expected)	Budget 2026	Anticipated to contain clearer signals or a formal announcement; possible legislative changes





Background: Canadian Airports' Status Quo

Summary:

- There are 23 airports owned by Transport Canada in the National Airport System (NAS), leased to non-profit airport authorities run by local representative boards.
- These airports currently pay \$525 million to the federal government in land leases per year – \$7.3 billion cumulatively since the model began – making the current system a net contributor to federal revenue, not a drain on it.
- A primary critique of Canadian air travel is the high fares, largely due to Canada's user pay model, with Airport Improvement Fees (AIF) often cited as a major contributor.
- Inadequate labour regulation has resulted in some persistent worker complaints, including contract-flipping and insufficient airport firefighter staffing standards.

Background: National Airport System

Canada's National Airport System (NAS) is the operational model for the country's largest commercial airports. Currently, 26 airports are contained in the NAS, 23 across the provinces and one in each territory. The three NAS airports in the territories are owned by each of their respective territorial governments. The 23 NAS airports across the provinces are owned by Transport Canada (the federal government's department responsible for transportation matters) and operated by regional airport authorities.^{14*15} These airport authorities lease the airports from Transport Canada and are responsible for all operations, maintenance, and development—they are private, not-for-profit, and non-share capital corporations.¹⁶ These leases currently provide the federal government with \$525 million per year—with \$7.3 billion total since the airport authority model was implemented.¹⁷ The non-profit airport authorities invest all revenue surpluses made by the authorities back into the airports.¹⁸

The NAS was implemented following Transport Canada's creation of the National Airport Policy in 1994. Five categories of airport groups were established in the policy: (1) NAS airports, (2) regional and local airports, (3) small airports, (4) remote airports, and (5) Arctic airports. The regional/local and small airports were intended to be sold or transferred to local bodies. The NAS and remote airports were not to be sold, and the Arctic airports were intended to be transferred to territorial governments.¹⁹

NAS Airports are those deemed essential to Canadian air travel, and "by definition, they must have year-round, regularly scheduled passenger service with a minimum of 200,000 passengers annually and/or be located in a provincial or territorial capital."²⁰ Locally constituted board of directors controls the operations of the airport authorities, containing representation from local chambers of commerce, boards of trade, consumer groups, labour and professional organizations, and various levels of government.

Background: Consumers' Concerns – High Airfares

Summary:

- Canada's user-pay model has kept airports off the federal balance sheet but pushed costs directly onto travellers, ranking low in measures of air travel affordability.
- Canadian AIFs alone are estimated to add over \$60 more per round-trip ticket than comparable US airports.
- Comparisons to subsidized systems like the US are somewhat unfair given Canada's structurally different model, but the result for travellers is the same: higher fares.

14 * Kelowna's Airport (YLW) is the only airport of the 23 operated by their municipal government. The City of Kelowna leases the airport from Transport Canada and control operations.

15 Transport Canada. "List of airports owned by Transport Canada." Government of Canada. May 8, 2026. <https://tc.canada.ca/en/aviation/operating-airports-aerodromes/list-airports-owned-transport-canada>.

16 Transport Canada. "Airport Authorities." Government of Canada. N.d. <https://tc.canada.ca/en/corporate-services/transparentcy/briefing-documents-transport-canada/2023-dm/transport-canada-structure-portfolio/shared-governance-organizations/airport-authorities>.

17 Monette Pasher. "Monette Pasher: Canada's airports are already private — selling them to for-profit owners will just mean higher fees." Financial Post. August 28, 2024. <https://financialpost.com/transportation/monette-pasher-canada-airports-private-fees>.

18 Canadian Airports Council. "Canadian Airports Canada (CAC) Statement – Canadian air transportation fuels our economy." February 23, 2026. https://canadasairports.ca/press_release/canadian-airports-canada-cac-statement-canadian-air-transportation-fuels-our-economy/.

19 Joseph P Dion. "Airports in Transition". Government of Canada. October 4, 2002. <https://publications.gc.ca/Collection-R/LoPBdP/BP/prb0241-e.htm>.

20 Joseph P Dion. Airports in Transition. October 4, 2002.

One of the most prevalent complaints about Canadian airports is the high consumer costs of airfares. Since the implementation of the NAS and airport authorities, Canada's airports have operated on a user-pay model that requires no government subsidies, while allowing the airport authorities to levy any airport charges – given that they are non-discriminatory and competitive.²¹ This model has allowed airports to be net contributors to the federal budget since the conception of the National Airport Policy. However, concerns about the high cost of air travel in Canada are well documented, with the 2024 World Economic Forum's Travel & Tourism Development Index ranking Canada 11th overall, but 101st out of 116 countries on price competitiveness.²² These concerns become increasingly apparent when observing the isolated airfare costs.

The International Air Transport Association (IATA) found that when comparing similar domestic round-trip flights to those in the USA, Canadian travellers were paying over \$70 (CAD) more.²³ The large imbalance in fees in this figure is largely due to Canada's relatively high airport improvement fees (AIF), over \$60 more than US airports.²⁴ Even beyond this direct comparison with our southern neighbour, flights from Canadian airports are consistently ranked among the most expensive in the world.²⁵

"Flights from Canadian airports are consistently ranked among the most expensive in the world."

Other fees further contribute to these higher costs for Canadian air travellers. Increases to airport navigation system costs—run by NAV CANADA—and air travel security charges outpaced inflation.²⁶ Security fees, airport rents, and municipal charges are all further cited as charges that raise prices.²⁷ Despite these fees being cited as contributors to Canada's high air travel costs, it is somewhat spurious to compare prices to countries—such as the US—that subsidize their air travel, as opposed to Canada's user-pay model.



- 21 Rachel Tang. "Airport Privatization: Issues and Options for Congress" United States of America Congress. November 3, 2021. <https://www.congress.gov/crs-product/R43545>.
- 22 World Economic Forum. "Travel & Tourism Development Index 2024." May 21, 2024. <https://www.weforum.org/publications/travel-tourism-development-index-2024/>.
- 23 International Air Transport Association. "Canada's Air Travel Competitiveness." Fact Sheet. 2024. <https://www.iata.org/contentassets/d79bb6f31e1d450bb46fdefe8f01084b/fact-sheet---canadas-air-transport-competitiveness---2024.pdf>.
- 24 IATA. "Canada's Air Travel Competitiveness". 2024
- 25 Alicja Siekierska. "Flights from Canada among the most expensive in the world: survey." Financial Post. June 1, 2017. <https://financialpost.com/transportation/flights-from-canada-among-the-most-expensive-in-the-world-survey#:~:text=In%20the%20report%2C%20detailing%20the,ranked%2070th%20in%20the%20world>.
- 26 Douglas Lavin. "Draft Market Study Notice—Competition in Canada's Airline Industry". Letter from IATA to the Competition Bureau of Canada. June 17, 2024. <https://competition-bureau.canada.ca/sites/default/files/documents/IATA-Letter-Competition-Bureau-17-June-2024.pdf>.
- 27 Douglas Lavin. Competition in Canada's Airline Industry Letter from IATA. June 17, 2024

Background: Workers' Concerns – Regulation Needed

Summary:

- Canada's airports support 435,800 jobs and \$32.9 billion in wages, but weak regulation has already allowed contract-flipping to erode job security and wages at Canadian airports.
- IAMAW and Unifor are both on record calling for legislative amendments to close this gap, while CUPE's Airline Division has warned privatization would deepen pressure on wages and safety standards, specifically.
- Firefighting staffing shortfalls show the current system already struggles to meet ICAO safety standards – a warning sign for what happens under a profit-first mandate.

Canada's airports presently support 435,800 workers, providing \$32.9 billion in wages annually and \$123.5 billion of annual economic output.²⁸ The Canadian airport authorities' arms-length position from the government implements a pseudo-privatized ownership element that mandates both self-sufficient operations and decisions to benefit the local community and regional economic development. Despite Canada's airport system not being entirely profit-motivated, as a for-profit ownership model would be, issues regarding workers have persisted. These concerns have primarily manifested in inadequate regulation, allowing contract-flipping and insufficient safety standards.

Airports have presently been contracting out services and engaging in contract-flipping to cut costs, resulting in deflated wages, job insecurity, and poorer working conditions. This practice has been ongoing for years with ground handling services at Toronto Pearson and Montréal-Pierre Elliott Trudeau airports,²⁹ and food service workers at Vancouver airport.³⁰ Canadian unions, such as IAMAW and Unifor, have released public statements calling for airport authorities to cease contract flipping and for federal regulation to prohibit the practice.^{31,32} These unions have called for amendments to section 47.3 of the *Canada Labour Code* to extend the labour protection of airport security officers' continuity of employment to all airport workers.³³ Hundreds of union jobs have been cut thus far, wages have been deflated, and staffing shortages have persisted. CUPE's Airline Division, representing 18,500 flight attendants, has echoed this warning, cautioning that privatization would deepen downward pressure on wages and safety standards as private investors seek to cut labour costs.³⁴

Beyond the desire for increased labour protections, airport workers have expressed the need for updated regulation

28 Canadian Airports Council. "Canadian Airports Celebrate Third Annual Airport Workers Day with National Awards Recognizing Excellence Across Canada's Aviation Workforce." June 25, 2026. https://canadasairports.ca/press_release/canadian-airports-celebrate-third-annual-airport-workers-day-with-national-awards-recognizing-excellence-across-canadas-aviation-workforce/.

29 Matthew Lapierre. "'Contract flip' at Montreal airport will vaporize hundreds of unionized jobs, lead to chaos, union says." CBC News. February 23, 2023. <https://www.cbc.ca/news/canada/montreal/ground-handling-contract-flip-montreal-1.6758292>.

30 Vancouver District Labour Council. "Contract Flip at YVR Airport Puts 90 Food Service Workers' Jobs at Risk." March 20, 2019. <https://vdlc.ca/contract-flip-at-yvr-airport-puts-90-food-service-workers-jobs-at-risk/>.

31 IAM Union. "Canadian Airport shamefully enables contract-flipping." February 22, 2023. <https://iamaw.ca/canadian-airport-shamefully-enabling-contract-flipping/>.

32 Deborah Flint. "Letter: The growing cost of contract flipping at Toronto Pearson airport." Unifor. June 5, 2026. <https://www.unifor.org/news/all-news/letter-growing-cost-contract-flipping-toronto-pearson-airport>.

33 IAM Union. "The IAM fights against Contract-Flipping on Parliament Hill". N.d. <https://iamunion.ca/the-iam-fights-against-contract-flipping-on-parliament-hill/>.

34 BusinessWire. "Liberal Airport Privatization Scheme Should Be Grounded: Canada's Flight Attendants." - March 13, 2025. <https://financialpost.com/pmn/business-wire-news-releases-pmn/liberal-airport-privatization-scheme-should-be-grounded-canadas-flight-attendants>.

to protect both workers and travellers. The International Association of Fire Fighters has expressed concern about the shortfall in the airport rescue and firefighting regulations meeting international standards.³⁵ The International Civil Aviation Organization (ICAO) standards require airport firefighters to perform rescues that span all operational runways within three minutes, requiring more staffing and resources for airport firefighters. Currently, many Canadian airports rely on municipal firefighters to assist airport crews with rescues, resulting in delayed responses—often around 10 minutes or more—while straining other emergency responses in the local communities.³⁶ This issue exemplifies the concern that workers have with the current Canadian system, highlighting the need for legislative changes to protect workers’ job security and overall safety.

Background: Benefits of Canadian Airports

Summary:

- The current model keeps airports off taxpayers’ books while still generating over \$500 million a year for the federal government – a benefit that privatization proponents sparsely acknowledge.
- Industry voices have pushed back directly on the “airports as a cost” framing, describing them instead as net fiscal contributors.
- The trade-off for this no-subsidy structure is higher airfares, but at present, today’s higher fares fund public infrastructure, not private shareholder returns.

Despite the legitimate worker and consumer critiques, the current airport system in Canada does have its benefits. Inherent to the user-pay model, the NAS airport authorities are “mandated to operate as self-sustaining businesses that support community and regional economic development.”³⁷ Airports are therefore deemed as a public good, but not a subsidized one. In Senate Finance Committee testimony, Geoff Turner of the Canadian Airports Council framed the status quo’s benefits explicitly, stating that airports are “net fiscal contributors to Canada,” pushing back on discourse that treats them as a cost.³⁸ For the federal government’s purse, and for Canadians who don’t travel by air often, this is a benefit: there is no taxpayer burden, and the airports contribute to federal government revenue each year. However, as previously discussed, higher airfares are the result.



35 International Association of Fire Fighters. “Strengthen airport firefighting regulations without delay, IAFF tells Canadian Government.” March 19, 2025. <https://www.iaff.org/news/strengthen-airport-firefighting-regulations-without-delay-iaff-tells-canadian-government/>.

36 IAFF. Strengthen airport firefighting regulations. March 19, 2025.

37 Canadian Airports Council. “Airport Governance and Accountability.” N.d. <https://canadasairports.ca/about-canadas-airports/airport-governance-and-accountability/>.

38 Geoff Turner. Senate of Canada. Finance Committee. May 27, 2026. <https://sencanada.ca/en/search-intervention?df=1748232000000&dt=1783612800000&id=false&ie=true&k=Geoff%20Turner&pn=0&ps=5>.



Examples: Effects of Airport Privatization

Summary:

- Since the UK's first airport sale in 1987, privatization has spread globally, with roughly 20% of the world's airports now privatized, though Canada and the US remain holdouts, with airports here still considered fully public.
- The outcomes of these privatizations vary in how the harm shows up, but not whether it shows up: the through line across every documented case is that the shift to a profit-seeking mandate produces higher costs, worse service, or squeezed workers—or some combination of the three.
- Five international cases—covering the UK, Australia, New Zealand, Portugal, and the US—are examined in detail below, closing with a side-by-side comparison of what each one reveals.

Despite being a recent concern in Canada, airport privatization is not new internationally. Under Margaret Thatcher's government in 1987, the United Kingdom was the first country to push to privatize airport infrastructure. Now, around 20% of the world's airports are privatized.³⁹ The privatization trend has been largely seen in Europe, with 75% of European air passenger traffic being through private airports—a stark contrast with North America's 1%.⁴⁰ Canada and the US have thus far bucked this airport privatization trend, with all but one major US airport being publicly owned, and Canadian airports being considered fully public due to Transport Canada's land ownership and the non-profit operational model.⁴¹

The many cases of airport privatization provide a multitude of examples and outcomes, many demonstrating varying degrees of success or failure. Multiple studies on airport privatization worldwide have struggled to establish consistent evidence of its overall benefits.⁴² However, the constant across privatized ownership is the motivation for generating profit—and that profit must come from somewhere. Examples of airport privatization have demonstrated that this profit is often extracted at the detriment of the public, the workers, or both.

Examples: Privatization and High Airfares

Summary:

- International experience shows a consistent pattern: privatization without strong regulation leads to higher airport charges, which airlines pass on to consumers.
- Australia's former ACCC chair Rod Sims has confirmed this directly: consumer costs rose for years once privatized owners had free rein to extract profit.
- Portugal's formula-based charges left airlines and passengers paying at least 30% more than costs justified, a different regulatory failure mode with the same outcome.

The pursuit of reduced costs is often referenced in privatization attempts abroad. However, increased costs for consumers often accompany these privatized airports. In many cases of privatization without strong regulations, airports began charging higher prices to airlines, compared to those that were public or regulated.⁴³ Rod Sims, former chair of Australia's Competition and Consumer Commission, has been direct about this outcome. Sims has stated plainly that Australian consumers bore higher costs for years following the country's airport privatization, as owners were left with free rein to extract profit wherever they saw fit.⁴⁴ As the regulator who oversaw the system firsthand, Sims lends direct credibility to the broader pattern documented across Australia and New Zealand.

39 M. Weisbach, Y. Jang, H. Kim, S. Howell. "All Clear for Takeoff: Evidence from Airports on the Effects of Infrastructure Privatization." National Bureau of Economic Research. November 4, 2022. https://www.researchgate.net/publication/364205986_All_Clear_for_Takeoff_Evidence_from_Airports_on_the_Effects_of_Infrastructure_Privatization.

40 Marc Scribner, "Annual Privatization Report: Aviation." Reason Foundation. May 2023. <https://reason.org/wp-content/uploads/annual-privatization-report-2023-aviation.pdf>.

41 Rachel Tang. Airport Privatization Options for Congress. November 3, 2021.

42 Anne Graham. "Airport Privatization: A Successful Journey?" Journal of Air Transport Management. October, 2020. <https://www.sciencedirect.com/science/article/pii/S0969699720305135>.

43 Anne Graham. "The Objectives and Outcomes of Airport Privatization". Research in Transport and Business Management. August 2011. <https://pmc.ncbi.nlm.nih.gov/articles/PMC7148682/>.

44 Darren Major. "Canada's government is looking at privatizing airports. What would that accomplish?" CBC News. May 6, 2026. <https://www.cbc.ca/news/politics/how-will-airport-privatization-impact-travel-9.7189042>.

“Australian consumers bore higher costs for years following the country’s airport privatization, as owners were left with free rein to extract profit wherever they saw fit.”

In Australia, the price caps that were initially in place following privatization were removed in 2002, replaced with a monitoring-only duty under the ACCC. Following this privatization and deregulation, the aeronautical revenue per passenger rose 61.5% at Perth Airport, while aeronautical profit increases across the major airports ranged from 50.6% at Melbourne to 133.4% at Perth, from 2007-8 to 2017-18.⁴⁵ Furthermore, recent Australian developments show that when for-profit owners increase their investment in infrastructure improvement, consumers are likely to “face higher airfares as airports seek to recover their costs,” according to the ACCC.⁴⁶

In New Zealand, a parallel example to Australia is demonstrated. Since the country’s airport privatization before the turn of the 21st century, a light-handed regulator approach was utilized. In 2003, the government rejected the recommended implementation of a price cap by New Zealand’s Commerce Commission, “arguing that such a price cap regulation would engender negative net public benefits.”⁴⁷ The consequences of that decision were found by the commission itself two decades later: in its 2024 review, the Commerce Commission found Auckland Airport was on track for approximately NZ\$190–200 million in excess profit, and stated explicitly that travellers were likely to bear much of this cost while having no alternative air transport provider.⁴⁸

Consumer costs beyond airfares rose as well following Australia’s privatization: Sydney Airport almost doubled its four-hour parking prices,⁴⁹ while also increasing costs for train access and closing a drive-by pick-up area beside the terminal.⁵⁰ Noticeable cost increases have been observed for taxi drivers and retail leaseholders as well, with those costs primarily passed to the consumer.⁵¹ Privatized British airports demonstrate this phenomenon as well, with drivers being charged up to \$24 CAD simply to drop off a passenger, a service that remains free at Canadian airports, while baggage carts—which are also free in Canada—can cost up to \$3.70.⁵² Such instances demonstrate the abuse of the market power of a natural monopoly once privatized.

45 Australia’s Competition and Consumer Commission. “Productivity Commission Inquiry into the Economic Regulation of Airports.” March 2019. <https://www.accc.gov.au/system/files/ACCC%20supplementary%20submission%20to%20the%20Productivity%20Commission%27s%20Inquiry%20into%20the%20Economic%20Regulation%20of%20Airports%20-%202029%20March%202019.pdf>.

46 Australia’s Competition and Consumer Commission. “Major airports increase infrastructure investment, but higher costs will likely flow through to passengers.” March 5, 2026. <https://www.accc.gov.au/media-release/major-airports-increase-infrastructure-investment-but-higher-costs-will-likely-flow-through-to-passengers>.

47 “Case Studies on Commercialization, Privatization and Economic Oversight of Airports and Air Navigation Services Providers (ANSPs)” February 2013. <https://www.icao.int/sites/default/files/sustainability/CaseStudies/NewZealand.pdf>

48 Commerce Commission of New Zealand. “Commission says Auckland Airport charges are too high.” July 17, 2024. <https://www.comcom.govt.nz/news-and-media/news-and-events/2024/commission-says-auckland-airport-charges-are-too-high/>.

49 Chris Aulich. “Airport Privatization in Australia: A Tale of Three Cities.” Applied Finance and Accounting. November 14, 2014. <https://redfame.com/journal/index.php/afa/article/view/614/597>

50 M. O’Donnell, M. Glennie, P. O’Keefe, S. Kwan. “Privatisation and ‘Light-Handed’ Regulation: Sydney Airport.” The Economic and Labour Relations Review Vol. 22. P.65-80. doi:10.1177/103530461102200104.

51 C. E. Gordon, M. Hughes, A. F. Read, J. Chow. “Australian Airport Privatisation: Impacts on Operations and Customers.” Conference: University of Canberra Tourism Seminar Series 2008. May 2008. https://www.researchgate.net/publication/275948456_Australian_Airport_Privatisation_Impacts_on_Operations_and_Customers.

52 NUPGE. “Expect to be nickel and dimed with airport privatization.” June 12, 2026. <https://nupge.ca/2026/nickel-and-diming-airport-privatization/>.

Portugal has observed similar issues following its privatization of ten airports in 2012. The new ownership has since set airport charges based on a set formula, instead of adjusting based on the costs of operations, resulting in charges being 30% higher than necessary.⁵³ The IATA and the industry association Airlines for Europe cited the UN International Civil Aviation Organization's key principle, stating that airport charges should be related to costs, then calling on the Portuguese government to renegotiate the terms of the privatization concession agreement.

Examples: Privatization and Worsened Working Conditions

Summary:

- The major privatization cases reviewed show the same pattern: promised job protections expire, and workforce cuts follow shortly after.
- Sydney Airport cut 40% of its workforce the moment its post-sale employment guarantee lapsed – while posting a \$376 million profit the same year.
- San Juan Airport's experience shows these pressures aren't limited to layoffs: understaffing itself becomes a safety issue for workers and the public.

Immediately following the Canadian government's signals of privatization, the Union of Canadian Transportation Employees showed opposition due to concerns about job losses, worker safety, and decreased public accountability.⁵⁴ With the existing concerns of employment precarity and safety concerns for Canadian airport workers, the fear of worsened conditions has often accompanied talks of privatization.

In Australia's airport privatization, drastic job loss occurred despite negotiating wage and job preservation following privatization. Sydney Airport waited the minimum 12 months outlined in the post-privatization employment contract, then proceeded to cut 40% of the airport's workforce.⁵⁵ The airport later outsourced positions in baggage handling, maintenance, and ground support, which raised security concerns. The Community and Public Sector Union (CPSU) – the union representing those workers who were cut – expressed discontent with both the cost to workers and the compromise in security resulting from these decisions.⁵⁶ Following the cost-cutting, CPSU maintained that the 40 percent of staff cut by Sydney Airport coincided with the announcement of a \$376 million profit,⁵⁷ highlighting the profit motive in direct conflict with workers' standards and the safety of the airport.

"40 percent of staff cut by Sydney Airport coincided with the announcement of a \$376 million profit."

Similar concerns were recently conveyed in the US's only privatized commercial airport, Luis Muñoz Marín International Airport in San Juan, Puerto Rico. The airport was privatized in 2013, assisted by the US government's pilot program to push

53 Jennifer Janzen. "Call for a Better Deal for Airlines and Passengers in Portugal." December 2023. <https://a4e.eu/publications/call-for-a-better-deal-for-airlines-and-passengers-in-portugal/>.

54 Alex Ballingall. "Mark Carney is eyeing airport privatization. Here is why it could make Canadian flights more expensive." Toronto Star. June 26, 2026. https://www.thestar.com/politics/federal/the-arguments-for-and-against-selling-canadas-airports/article_9fd01169-a3fb-4c93-9b7c-b705e3d24b67.html.

55 M. O'Donnell, M. Glennie, P. O'Keefe, S. Kwan. "Privatisation and 'Light-Handed' Regulation: Sydney Airport." The Economic and Labour Relations Review Vol. 22. P.65-80. 2011.

56 M. O'Donnell et al. Sydney Airport Privatisation. 2011.

57 M. O'Donnell et al. Sydney Airport Privatisation. 2011

airport privatizations. Proponents of privatization highlight the investments that private ownership has made in the airport infrastructure.⁵⁸ However, the concern of squeezed workers is seemingly exemplified by San Juan’s airport firefighters: staffing shortages and an increased demand on the workforce have created safety concerns for staff and the general public.⁵⁹ The IAM local representing San Juan’s airport firefighters—who joined the union in 2023 to collectively advocate for safer working conditions—has stated that the airport management is not treating this “chronic understaffing with the urgency it deserves.”⁶⁰ This case, alongside the concerns expressed by Australia’s airport workers, underscores how other privatized airports are motivated to squeeze workers further than publicly-owned airports to manufacture profit from their investments.

Examples: A Loss of Government Revenue Through Privatization

Summary:

- The UK and Australian cases both show governments significantly undervalued what they sold.
- Heathrow’s current owners could recoup the entire 1987 sale price in under four years of profit alone.
- Sydney Airport resold for more than double its original privatization price within two decades—value the public sector generated but never captured.

Beyond the concerns of consumers and workers at airports, previous countries’ airport sales have demonstrated shortsightedness in their fiscal gains. In the United Kingdom, the British Airports Authority (BAA)—which owned London Heathrow airport and six others in England and Scotland—was sold in 1987 for approximately £3.42 billion (adjusted for inflation).⁶¹ While the new private owners subsequently invested billions in infrastructure and assumed the financial risk of running the airport, recent financial statements from Heathrow alone show the scale of the return on that investment: a 2024 profit before tax of £917 million, while allocating £250 million in dividends to its ultimate shareholders.⁶² At that rate, London Heathrow’s profit over just four years would exceed the entire inflation-adjusted sale price of all seven BAA airports combined—underscoring how significantly the UK government’s one-time payment has been outpaced by the ongoing value of the asset it sold, and demonstrating the loss of potential governmental revenue.

“At that rate, London Heathrow’s profit over just four years would exceed the entire inflation-adjusted sale price of all seven BAA airports combined.”

Australia demonstrates a similar story with Sydney airport’s privatization and subsequent sale. In 2002, the Sydney airport was sold for A\$5.6 billion (Australian dollars), equating to ~A\$9.28 billion adjusted for inflation (2022).⁶³ This price reached

58 Bipartisan Policy Center. “Infrastructure Case Study: San Juan Airport.” N.d. <https://bipartisanpolicy.org/wp-content/uploads/2016/10/BPC-Infrastructure-San-Juan-Airport.pdf>.

59 IAM Union. “IAM Union Raises Concerns Over Staffing Shortages Among IAM Airport Rescue Firefighters at Luis Muñoz Marín International Airport.” July 22, 2026. <https://www.goiam.org/news/iam-union-raises-concerns-over-staffing-shortages-among-iam-airport-rescue-firefighters-at-luis-munoz-marin-international-airport/>.

60 IAM Union. Staffing Shortages Among IAM Airport Rescue Firefighters. July 22, 2026.

61 Reuters Fact Check. “Fact Check: Heathrow Airport not ‘given away for free’ in the 1980s.” Reuters. August 14, 2025. <https://www.reuters.com/fact-check/heathrow-airport-not-given-away-free-1980s-2025-08-14/>.

62 Heathrow Media Centre. “Record demand drives Heathrow growth - results for year ended 31 Dec 2024”. February 26, 2025. <https://mediacentre.heathrow.com/pressrelease/detail/22074>.

63 The New York Times. “Sydney Airport Sold to Bank-Led Group.” June 25, 2002. <https://www.nytimes.com/2002/06/25/business/sydney-airport-sold-to-bank-led-group.html>.

its relatively high amount through the government of Australia implementing strong incentives for private owners to purchase the airports by approving drastic pricing increases that the airports could charge prior to the sales.⁶⁴ Two decades later, in 2022, the private ownership group of the Sydney airport sold the airport to the Sydney Aviation Alliance—comprised of different funds backing the purchase—at an equity valuation of A\$23.6 billion and enterprise valuation of A\$32 billion.⁶⁵ The public asset was sold by one private owner to another—just years after the global COVID-19 pandemic dramatically damaged the air travel industry—for more than double what the government Australia sold the airport for.

Table to Summarize Cases of Harmful Privatization

Country / Case	Year Privatized	Notable Impact	Evidence
United Kingdom: Heathrow/BAA	1987	Fiscal shortsightedness—the government sold too cheap	Sold for ~£3.42B (inflation-adj.); Heathrow's 2024 profit before tax alone was £917M – enough to recoup the entire original sale price in ~4 years ⁶⁶
Australia: Sydney & other majors	1997-2002	Workers paid the price the moment protections lapsed	Sydney cut 40% of its workforce the day its 12-month job guarantee expired – the same year it posted a \$376M profit ^{67,68}
New Zealand: Auckland	1998 (unregulated since 2003)	Regulator-confirmed consumer overcharging	NZ Commerce Commission found NZ\$190M in excess profit; ⁶⁹ domestic charges set to more than double by 2027 ⁷⁰
Portugal: 10 airports	2012	Charges decoupled from actual costs	Formula-based pricing left charges 30% above what operating costs justified ⁷¹
Puerto Rico, USA: San Juan	2013	Understaffing became a public safety issue	Chronic firefighter shortages; union says management isn't treating it "with the urgency it deserves." ⁷²
United States: Stewart International (NY)	2000 (reverted 2007)	The private operator profited from the exit, not the operation	National Express walked away after seven years, booking a £16.2M profit on selling the lease back, while the public buyer absorbed real losses, picking it back up. ⁷³

Each case is documented most strongly in a different dimension of harm. Together, they show that no matter which lever a privatized owner pulls, someone on the public side absorbs the cost.

64 C. E. Gordon, et al. Australian Airport Privatisation, 2008.

65 Macquarie. "Advising on the acquisition of Sydney Airport by the Sydney Aviation Alliance." N.d. <https://www.macquarie.com/au/en/insights/advising-on-the-acquisition-of-sydney-airport.html>.

66 Reuters Fact Check. Heathrow Airport. August 14, 2025.

67 M. O'Donnell et al. Sydney Airport Privatisation. 2011.

68 The New York Times. Sydney Airport Sold to Bank-Led Group. June 25, 2002.

69 Commerce Commission of New Zealand. Auckland Airport charges are too high. Jul17, 2024.

70 IATA. "Change needed to NZ airports' regulatory framework, says IATA." April 3, 2025. <https://airlines.iata.org/2025/04/03/change-needed-nz-airports-regulatory-framework-says-iata>.

71 Jennifer Janzen. Airlines and Passengers in Portugal. December 2023.

72 IAM Union. Staffing Shortages Among IAM Airport Rescue Firefighters. July 22, 2026.

73 Rachel Tang. Airport Privatization Options for Congress. November 3, 2021.



Analysis: Canada's Airports – Impacts of Potential Privatization

Summary:

- Regardless of the specific structure privatization takes – lease sale, IPO, P3, or partial terminal sale – the core issue is a change in ownership mandate, from community-oriented to profit-oriented.
- Because Canadian airports are natural monopolies with few, if any, competitive alternatives, standard free-market arguments for privatization don't hold: there's no competition to force efficiency gains back to consumers rather than into private profit.
- This risk is more acute in Canada than in comparators like Europe, where rail alternatives discipline airport pricing in ways Canada's geography doesn't allow.

Synthesizing the government's rationale for potential privatization and Canadians' significant critiques of air travel, it should be concluded that further privatization of airports would lead to an exacerbation of these undesirable outcomes. Regardless of the form of privatization (private leaseholders, IPO listing, P3, specific terminal sales, etc.), the fundamental issue is the change in the mandate of the owners. Presently, Canadian airports are mandated to be self-sustaining businesses and support community and regional economic development.⁷⁴ If privatized, this mandate would shift from one that is community-service-oriented to a profit-motivated focus. The free-market, neoliberal arguments that profit-seeking business results in stronger outcomes for both consumers and ownership do not hold up in the discussion of airport privatization, largely due to airports being natural monopolies.⁷⁵ This is especially evident when there are limited alternatives to long-distance transportation in the surrounding metropolitan region.

Analysis: A Natural Outcome From a Natural Monopoly

Summary:

- Airports privatized without competition are structurally incentivized to maximize the revenue that regulation allows them to extract. This isn't a bug of privatization; it's the predictable result.
- Canada's geography makes this risk more acute than in Europe: without the rail alternatives that discipline European pricing, Canadian travellers have fewer ways to avoid monopoly airport fees.

Supporters of airport privatization have often cited the efficiency that the free market brings when public assets are privatized. Research from think tanks, such as the Fraser Institute, has claimed that airport privatization in Canada would result in improved service quality, increased innovation, and lowered ticket prices.⁷⁶ Other academic researchers have highlighted the operational efficiencies that have occurred in some instances of privatized airports under private equity ownership.⁷⁷ However, the fundamental shift of a public service mandate to a profit-seeking one demonstrates a clear route of adverse impacts. Since airports are natural monopolies, in that there is little, if any, surrounding competition, they would be incentivized to abuse their market power to the extent that regulation allows in pursuit of maximizing profit margins if privatized.

"[Airports] would be incentivized to abuse their market power to the extent that regulation allows in pursuit of maximizing profit margins if privatized."

Other countries' privatization examples illustrate the outcomes of when airports are allowed to remain privatized natural monopolies. Australia's former chair of the competition commission explicitly warned about this market power, explaining that when Australia's airports were privatized, the owners maximized profits, drastically raised fees, with

74 Canadian Airports Council. "Airport Governance and Accountability." N.d.

75 G. Bel, X. Fageda. "Privatization, Regulation, and Airport Pricing: An Empirical Analysis for Europe". Robert Schuman Centre for Advanced Studies. 2009. https://www.researchgate.net/publication/225466465_Privatization_regulation_and_airport_pricing_An_empirical_analysis_for_Europe.

76 Jake Fuss and Alex Whalen. "Reduce airport-related fees and allow competition from foreign airlines to lower sky-high fares for Canadians." March 13, 2025. <https://www.fraserinstitute.org/studies/clearing-the-runway-reforms-enhance-air-travel-competition-in-canada>.

77 M. Weisbach, Y. Jang, H. Kim, S. Howell. All Clear for Takeoff. November 4, 2022.

the costs being passed on to the consumer, and adversely impacting the air travellers for years.⁷⁸ The concerns of the private monopolization of the airport industry are among the most widely discussed drawbacks related to airport privatization.⁷⁹

If privatized, Canada would be especially susceptible to airports' strong market power. Canadians rely immensely on air travel for long-distance travel and regional connectivity due to the vast geographical distances between regions.⁸⁰ This contrasts with Europe's transportation organization, which is relatively less dispersed and has other methods of medium-to-long-distance travel, like rail.

Analysis: The Mandate Shift

An airport with the mandate to maximize profits would likely aim to yield anywhere from 8-9% to 20-30% return on investment for the capital owners.⁸¹⁸² This return must come from somewhere. With the profit-centred mandate and the ability to abuse market power, privatized airports would likely result in adverse effects for either Canadians, air travellers, workers, the government's own purse, or some combination thereof. The following section analyzes where the privatized ownership may be most likely to receive their return—utilizing financial statements from Canada's busiest three airports, and therefore some of the most attractive to private investors: Toronto Pearson (YYZ), Vancouver (YVR), and Montréal-Trudeau (YUL).

Summary:

- If ownership desires to increase revenues, aeronautical charges and consumer airfares are both expected to rise.
- If owners cut expenses instead, expect less infrastructure investment and a squeezed workforce.
- The federal government could hold revenues/expenses constant, and instead, sweeten the deal through reduced rents—but this simply shifts public money to private investors without the efficiency gains privatization is meant to deliver.

Profit Through Revenues

Given that one of the most prevalent concerns about Canadian air travel is the relatively high price of airfares, many would agree that increased consumer costs ought to be avoided. The high consumer costs of Canada's user-pay model have, at times, been cited by the government as justification for this initial probe into airport privatization. The consensus on why Canadians pay more for air travel is clear: the user-pay model, alongside the rents collected by the federal government, requires higher fees imposed on travellers and airlines.⁸³ It is unclear, however, how introducing a

78 Darren Major. "Canada's government is looking at privatizing airports. What would that accomplish?" CBC News. May 6, 2026. <https://www.cbc.ca/news/politics/how-will-airport-privatization-impact-travel-9.7189042>.

79 Anne Graham. "The Objectives and Outcomes of Airport Privatization." August 2011.

80 Government of Canada. "Deputy Minister's appearance at the Committee of the Whole (CoW) House of Commons." May 2025. <https://tc.canada.ca/en/binder/19-regional-connectivity>.

81 Monette Pasher. Canada's airports are already private. Financial Post. August 28, 2024.

82 Mark McQueen. "Is airport privatization a good deal for Canadians or just a way to pay for high-speed rail?" Toronto Star. May 14, 2026. https://www.thestar.com/opinion/star-columnists/is-airport-privatization-a-good-deal-for-canadians-or-just-a-way-to-pay-for-high-speed-rail/article_f71b9c20-77d0-4575-bfb8-314cddda9468.html.

83 Simon Ing. "Sky's The Limit: Soaring Costs in Canada's Aviation Industry." August 2, 2024. <https://www.queensbusinessreview.com/articles/skys-the-limit-soaring-costs-in-canadas-aviation-industry>.

profit-focused ownership—that requires substantially more total revenue than expenses—would allow for a reduction in consumer costs.⁸⁴ Instead—keeping the government’s lease and operating expenses constant—the consumer costs would likely have to increase under privatized owners.

This math was laid out plainly for the Senate Finance Committee. David Macdonald of the Canadian Centre for Policy Alternatives testified that private investors would require airports to generate meaningfully more revenue than they do today: an estimated 15-20% more.⁸⁵ He further states that this gap “will come from somewhere”—airlines, ticket prices, parking, retail, improvement fees, or reduced government rent.⁸⁶ Parking and retail revenue alone, he noted, could not realistically cover a gap of that size.

Currently, Canadian airports have three primary revenue streams:⁸⁷

1) Aeronautical Revenue – landing and terminal fees charged to air carriers;

2) Non-Aeronautical Revenue – from the commercial businesses operating on the airport’s land, charged to those leasing the space;

3) Airport Improvement Fees – fees on airfare tickets that exclusively contribute to airport investments, charged to the air traveller.

If the private owners are required to increase revenues, those increases would likely come from aeronautical activity or the Airport Improvement Fees (AIF), as the non-aeronautical revenue (parking, concessions, and real estate) is unlikely to grow by a sufficient amount. The aeronautical charges—made up primarily of landing fees and terminal charges—are paid by airlines and make up around 1/3 of Canadian airports’ operating revenue (34% of Toronto Pearson’s,⁸⁸ 28% of Vancouver’s,⁸⁹ and 38% of Montréal-Trudeau’s⁹⁰). If airports attempted to generate further revenue by increasing the aeronautical charges, some of that cost would likely be passed on to the consumer through the airfare. In recent years, airport rents alone have made up 7% of Air Canada’s total operating expenses.⁹¹ If that expense line were to increase significantly, the airline would not eat most of the cost, requiring an increase in its revenues from airfares.

An increase in the cost of aeronautical activities would not only cause increases in airfares for consumers, but also likely limit regional connectivity. Australia saw a noticeable decrease in regional air service for smaller communities following the country’s airport privatization.⁹² During this time, large Australian airports were increasing their costs of aeronautical activities beyond inflation.⁹³ The privatized monopoly’s aim of generating profits takes priority over providing the public service, incentivizing the airports’ increase in prices to the detriment of accessibility for regional or remote

84 Monette Pasher. Canada’s airports are already private. Financial Post. August 28, 2024.

85 David Macdonald. Senate of Canada. Finance Committee. May 28, 2026. <https://sencanada.ca/en/search-intervention?df=1748232000000&dt=1783612800000&id=false&ie=true&k=david%20macdonald%20airport&pn=0&ps=5>.

86 David Macdonald. Senate of Canada. Finance Committee. May 28, 2026.

87 Canadian Airports Council. “Fact Sheet | Canada’s Airports.” 2021. https://canadasairports.ca/wp-content/uploads/2021/10/CAC_Updated-fact-sheet-for-iPolitics-op-ed.pdf.

88 Greater Toronto Airport Authority. “2025: Positioned and Prepared: Unlocking Potential.” 2025 Annual Report. <https://cdn.torontopearson.com/-/media/project/pearson/content/corporate/who-we-are/pdfs/annual-reports/2025-gtaa-annual-report-eng>.

89 Vancouver Airport Authority. “2025 Consolidated Financial Statements.” 2025. https://www.yvr.ca/-/media/yvr/images/2025-annual-report/ilp-pdfs/english/yvr_2025_consolidated-financial-statements_en.pdf.

90 Aéroports de Montréal. “Annuel Report 2025”. 2025. <https://www.admtl.com/en-CA/corporate/medias/publications>.

91 Air Canada. “Annual Reports”. 2022-2025. <https://www.aircanada.com/media/annual-reports/>

92 James Moore. The government is exploring airport privatization. May 1, 2026.

93 Airlines for Australia and New Zealand (A4ANZ). The Performance & Impact of Australia’s Airports Since Privatization: A preliminary report prepared by Airlines for Australia & New Zealand. May 2018. https://a4anz.com/documents/A4ANZ_Report-The_Performance_and_Impact_of_Australias_Airports.pdf.

communities.⁹⁴ This concern spills over to the privatized airlines as well, as if both airports and airlines are attempting to maximize profits, the less efficient routes – the remote and regional ones – will likely be cut.

The AIFs may also be utilized to increase the revenue required for privatized owners. On departing flights, Toronto Pearson's AIF is \$41.81, Montréal-Trudeau's is \$45.99, and Vancouver's is \$26.25.⁹⁵ These fees are stated to go directly to financing capital expenses that improve the airports' infrastructure and service,⁹⁶ while making up around 1/3 of the total revenues for airports (34% for Toronto Pearson,⁹⁷ 32% for Vancouver,⁹⁸ and 35% for Montréal-Trudeau).⁹⁹ Other fees are placed on top of AIF in Canadian airports—such as security charges, air traffic control charges, and individual airport landing fees—but they are substantially less than the AIF and more comparable to other countries.¹⁰⁰ These fees are charged to the consumer on each ticket purchase, already making up an average of 35 percent of the cost of a Canadian air ticket.¹⁰¹ An increase in these fees would cause a directly proportional increase in the cost of airfares departing from the airport.

Table of Airport Revenue – sourced from the 2025 consolidated financial statements of operations:

Airport	Aeronautical Activities	Non-Aeronautical Activities	Airport Improvement Fees	Total Revenue
Toronto Pearson (YYZ)	\$708 million (34%)	\$662 million (32%)	\$715 million (34%)	\$2.08 billion
Vancouver (YVR)	\$204 million (28%)	\$285 million (40%)	\$228 million (32%)	\$717 million
Montréal-Trudeau (YUL)	\$365 million (38%)	\$264 million (27%)	\$332 million (35%)	\$961 million

94 Dorothea Bowyer, Greg Jones, Graham Bowrey, Ciorstan Smark. "Survival of the Fittest? Challenges to Regional Aviation and Regional Communities from the privatization of Australia's airports." Australasian Journal of Regional Studies. 2020. <https://www.anzrsai.org/assets/Uploads/PublicationChapter/AJRS-26.1-pages-001-to-028.pdf>.

95 Air Canada. "Airport Improvement Fee (AIF) and Airport Improvement Fee Deposit (AIFD): Canadian Airports." N.d. <https://www.aircanada.com/content/dam/aircanada/portal/documents/PDF/en/airport-improvement-fee-and-airport-improvement-fee-deposit.pdf>.

96 Toronto Pearson. "Fees." N.d. <https://www.torontopearson.com/en/corporate/who-we-are/fees>.

97 Greater Toronto Airport Authority. 2025 Annual Report. 2025

98 Vancouver Airport Authority. 2025 Consolidated Financial Statements. 2025

99 Aéroports de Montréal. "Annuel Report 2025". 2025

100 WestJet. "Sky-high costs: Unpacking Canada's government-imposed air travel fees." July 7, 2025. <https://www.westjet.com/en-ca/news/2024/sky-high-costs--unpacking-canada-s-government-imposed-air-travel>.

101 Simon Ing. Costs in Canada's Aviation Industry. August 2, 2024.

Profit Through Cutting Expenses

If airports were to avoid any increases in consumer costs and not increase their revenues, then the for-profit ownership must cut expenses to get a return on their assets. The usage of AIFs could be reworked to assist in manufacturing the profit required for for-profit private ownership. Without the AIF being increased, ownership could decide to invest less in infrastructure improvements that increase the user experience and service quality. This would cause a worsened experience for Canadian air travellers in the future, without any benefit of decreased ticket prices.

With the already present labour concerns at Canadian airports, there is worry that privatization would exacerbate these issues. In each of Canada's three busiest airports, the largest expense line—other than the cost of goods sold and amortization—is the salaries, wages, and benefits of airport workers. In 2025, salaries, wages, and benefits at Toronto Pearson totalled \$297 million (20% of operating expenses),¹⁰² in Vancouver it totalled \$139 million (21% of operating expenses),¹⁰³ and in Montréal-Trudeau it totalled \$108 million (15% of operating expenses).¹⁰⁴ Privatization would eliminate the present mandate of supporting regional economic development and, therefore, incentivize ownership to reduce expenses and squeeze workers. Global examples of privatized airports have shown that profits have been extracted through deflated workers' wages and thinned-out staffing to unsafe levels. Instances of this have already been observed in Canada. Incentivizing the operators of airports to further squeeze workers would likely result in the conditions worsening and becoming more pervasive.

Table of Airport Expenses – sourced from 2025 consolidated financial statements of operations:			
Airport	Transport Canada Rent	Salary, Wages, Benefits	Total Operating Expenses
Toronto Pearson (YYZ)	\$236 million (16%)	\$297 million (20%)	\$1.45 billion
Vancouver (YVR)	\$78.0 million (12%)	\$139 million (21%)	\$674 million
Montréal-Trudeau (YUL)	\$107 million (15%)	\$108 million (15%)	\$701 million

*Airport data is from consolidated financial statements of operations for 2025

Profits Through Government Incentives

If strong regulation were to coincide with the privatization of the airports that prevented large increases in revenues or substantial cuts in expenses, the sale suddenly appears much less appealing to prospective investors. The federal government would, therefore, need to incentivize the sale through another means. This could occur by the federal government choosing to sell these airports at a discount or opting to no longer collect money through rent or a one-time payment equivalent to what they are currently receiving from the airport land leases (~\$525 million dollars per year and growing).¹⁰⁵

102 Greater Toronto Airport Authority. 2025 Annual Report. 2025

103 Vancouver Airport Authority. 2025 Consolidated Financial Statements. 2025

104 Aéroports de Montréal. "Annuel Report 2025". 2025

105 Canadian Airports Council. Canadian Airports Canada (CAC) Statement. February 23, 2026

In this case, Toronto Pearson would save \$236 million (16% of operating expenses),¹⁰⁶ Vancouver would save \$78 million (12% of operating expenses),¹⁰⁷ and Montréal-Trudeau would save \$107 million (15% of operating expenses).¹⁰⁸ Using this data, it is clear that some profit may be able to be extracted from the airports with minimal changes to revenues or expenses. However, if this is what the federal government desires to do, David Macdonald from the Centre for Canadian Policy Alternatives put it eloquently, stating: “That’s just the federal government paying private investors. We could skip the whole charade of privatization and just pick some lucky company and give them a bunch of money from the federal government. We don’t have to go through the charade of selling the airport.”¹⁰⁹

“We could skip the whole charade of privatization and just pick some lucky company and give them a bunch of money from the federal government.”

– David Macdonald, Senior Economist with the CCPA, in front of the Senate Finance Committee.

Profit at the Expense of Public Accountability

Under the current model, Canada’s airport authorities are governed by locally constituted boards that must include representation from chambers of commerce, boards of trade, consumer groups, labour organizations, and various levels of government, giving the public, workers, and local businesses a direct seat in how the airport is run.¹¹⁰ Privatization would eliminate this structure, replacing community-representative governance with a board accountable only to shareholders.

The consequences extend to transparency as well: the detailed public financial disclosures this very report relies on – Toronto Pearson’s, Vancouver’s, and Montréal-Trudeau’s annual reports, broken down by revenue stream and expense category – exist precisely because these are non-profit authorities operating under a public governance mandate. Privately held airports face no equivalent obligation to disclose this level of financial detail, meaning the public, unions, and researchers would lose the very visibility that allows privatization’s costs to be documented and challenged in the first place. For-profit private ownership may, therefore, be inversely incentivized to be opaque in their public financial disclosures to limit broader backlash to the airports’ methods in manufacturing profits at the expense of air travel consumers and workers.



¹⁰⁶ Greater Toronto Airport Authority. 2025 Annual Report. 2025

¹⁰⁷ Vancouver Airport Authority. 2025 Consolidated Financial Statements. 2025

¹⁰⁸ Aéroports de Montréal. “Annuel Report 2025”. 2025

¹⁰⁹ David Macdonald. Senate of Canada. Finance Committee. May 28, 2026. <https://sencanada.ca/en/search-intervention?df=1748232000000&dt=1783612800000&id=false&ie=true&k=david%20macdonald%20airport&pn=0&ps=5>

¹¹⁰ Joseph P Dion. Airports in Transition. October 4, 2002.

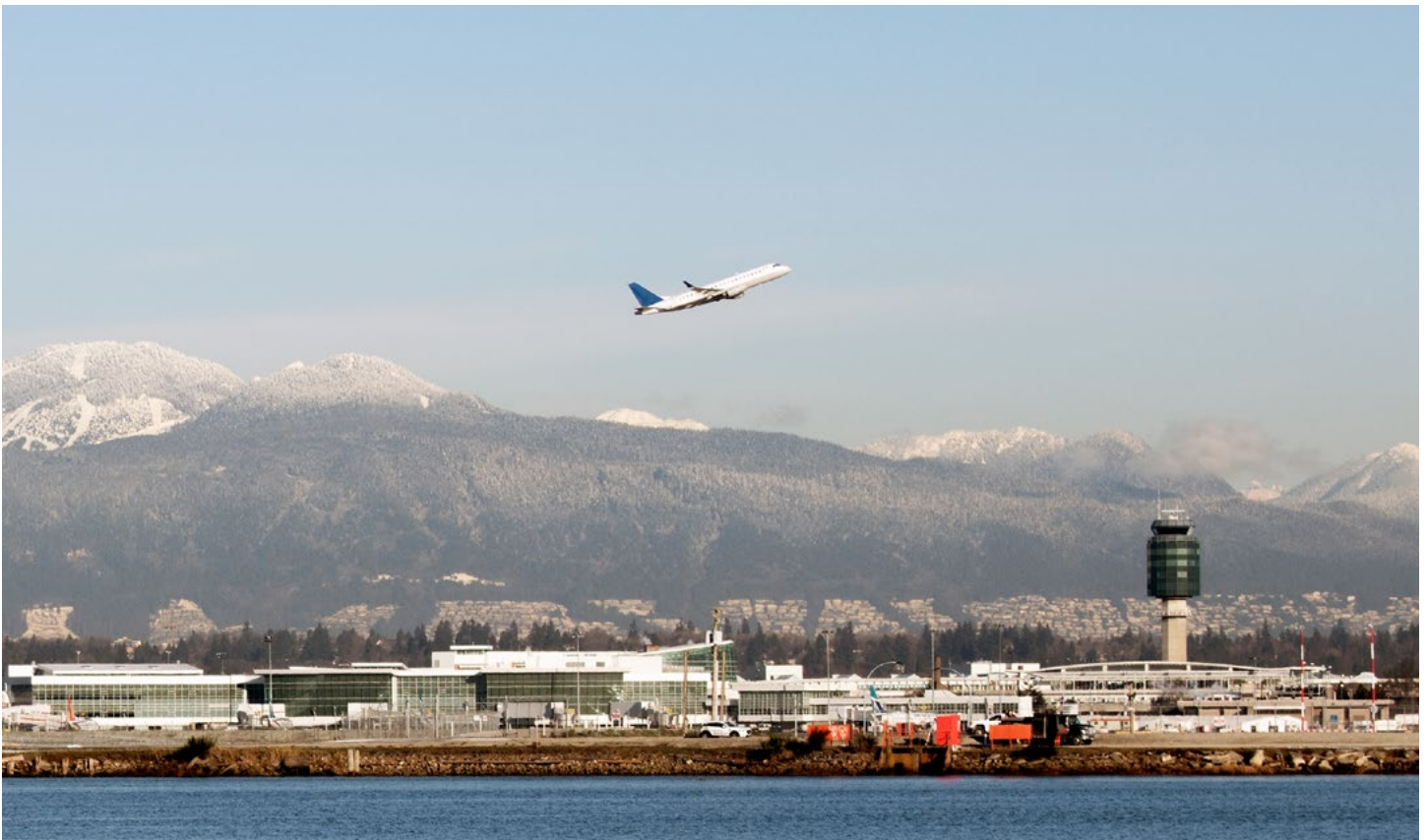
Analysis: “Efficiencies” are Not Enough

Summary:

- Even Canada’s own airport-industry leadership concedes the “efficiency” argument doesn’t hold up: President of the Canadian Airports Council’s own point that “Canada’s airports are already privatized” undercuts the premise that a sale would unlock meaningful new gains.
- Without competition, there’s no market mechanism forcing a privatized owner to pass efficiency gains on to consumers rather than keeping them as profit.

A consistent argument for airport privatization is the claim that the private for-profit operator can manufacture efficiencies in areas that government ownership fails to do. Despite this argument seemingly falling flat in Canada’s case due to the non-profit airport authority system, it remains unclear how efficiencies could make up the relatively large proportion of profit needed under privatization. The president of the Canadian Airports Council, Monette Pasher, made the distinction of the Canadian system clear, repeatedly proclaiming that “Canada’s airports are already privatized.”¹¹¹ Pasher does not state this as an advocate of privatization, but instead in opposition, warning against the inevitable adverse effects that accompany the profit-motivated mandate of increased privatization.

Even if further efficiencies are created following privatization, there is no incentive for the existing issues of Canadian airports to be fixed. Basic economic theory holds that without competition, prices can rise unchecked, only exacerbated by the inelasticity of long-distance travel. Essentially, a profit-motivated airport in Canada will likely have little or no competition and is incentivized to increase the price of airfares, since many of those who travel do so out of necessity.



111 Monette Pasher. Canada’s airports are already private. Financial Post. August 28, 2024.

Analysis – Core Case: A Summary of Why Airport Privatization Fails Canada

Regardless of which lever a privatized owner pulls—fares, fees, wages, or staffing—the pattern across every documented case is the same: revenue extracted from privatization has to come from somewhere, and it is consistently the public, the traveller, or the worker who pays it. The five arguments below, drawn from the international cases and Canada’s own financial data, represent the strongest and most defensible version of that case.

Table on Why Airport Privatization Fails Canada - The Core Case		
	Argument	Supporting Evidence in Brief
1	Consumer costs rise: this is the documented pattern everywhere it’s been tried, not a hypothetical risk	Australia and NZ both saw charges/profits outpace passenger growth once regulation weakened; Portugal’s formula-based charges ran 30% above cost.
2	Workers absorb the squeeze, and Canada is already showing the warning signs under a system that isn’t yet privatized.	Sydney Airport cut 40% of its workforce the moment protections lapsed; Canadian airports are already seeing contract-flipping under today’s non-profit model.
3	The math doesn’t work without someone paying more: there are only a few places that money can come from.	Investors require a return that the current system doesn’t generate; fares, fees, wages, or reduced rent are the only realistic levers.
4	Governments consistently undersell: the public gives up more value than it receives.	Heathrow’s single-year profit could repay its entire 1987 sale price in ~4 years; Sydney resold in 2022 for double its 2002 price.
5	No competition exists to limit harms: airports are natural monopolies – Canada is structurally exposed compared to other countries.	Airports are natural monopolies, and Canada lacks the rail alternatives that discipline pricing elsewhere.



Conclusion: Rejection of Airport Privatization

Canada's airports currently operate under a model that can be improved, but is presently self-sustaining, not-for-profit, and governed by a mandate that aims to benefit the communities and populations they serve—all while generating over \$500 million dollars per year for the federal purse. The case for privatization rests on the premise that a for-profit structure could improve on this: lower fares, better service, and efficient investment. The evidence, drawn from many documented international cases and Canada's own financial data, does not support that premise. Nor does the public appear convinced by that premise, with 53 percent of Canadians opposing airport privatization as of June 2026.¹¹²

Every case examined in this report tells a version of the same story. Australia and New Zealand saw charges and profits outpace passenger growth once regulatory constraints weakened. Sydney Airport cut 40% of its workforce the moment its post-sale job guarantees expired. The United Kingdom and Australia both sold public assets for a fraction of what those assets would go on to generate. Even the United States' own dedicated federal program to enable airport privatization produced, after twenty-five years, a single lasting example that has not demonstrated strong results for workers and their safety. The mechanism is consistent regardless of country or era: a profit-seeking owner facing airports' structural position as natural monopolies requires more revenue than the current system generates, and that revenue has only a handful of places to come from: fares, fees, wages, staffing, or government rent. Someone pays for it. The evidence shows it is consistently the traveller, the worker, or the public purse.

Canada is not immune to this pattern, and the risk here is not hypothetical. This report has documented that the pressures privatization would introduce are already visible under a model that has not yet been privatized (contract-flipping, wage suppression, firefighter staffing below international safety standards). Furthermore, Canada's isolated regions and vast geography make the country more exposed to airport market power abuse than many of the comparators examined here.

This report does not oppose the federal government's stated goals—infrastructure investment, affordable air travel, and a more competitive aviation sector—as these are goals likely worth pursuing. Nothing in the evidence reviewed here suggests that transferring ownership is required to achieve them, and a great deal of it suggests the opposite: that privatization would trade a system that is currently accountable, self-sustaining, and mandated to support communities for one that has been shown to extract its returns from the public it was meant to serve.

¹¹² Jessica Kim, Laura Dhillon Kane. "Canadians Skeptical of Carney's Push to Open Airports to Private Investment." Bloomberg. July 6, 2026. <https://www.bloomberg.com/news/articles/2026-07-06/carney-s-airport-privatization-push-opposed-by-canadians-in-poll>.

